



Third Eye Insights: Viewpoint

# Debunking AI Value Myths @Enterprise: Business/AI Leaders and Service Providers

## AI in a Bank

■ Region: US



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## #1 AI Productivity paradox: Betting on the right horse but wrong jockey?

Banking & Financial Services institutions are focusing their AI efforts and investments on reducing headcount and increasing worker/ employee productivity. A lot of the urgency to implement Agentic AI, for example, is its ability to accomplish both of these goals.

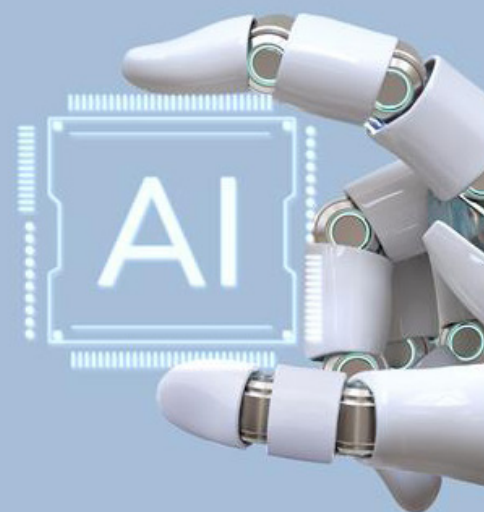
### So what?

Are financial services organizations, however, using that enhanced productivity and subsequent human-machine combined capacity to generate more revenue/ profits/ market share/ new businesses/ products/ services?

#### For example, in the BFS domain,

- What are the AI leaders in these BFS entities able to accomplish with the additional productivity gains and cost savings?
- Do these first-line benefits align to their business goals from AI investments?
- Are these percentage improvement metrics translating into visible and measurable hard dollar value gains on ground?
- Are the leaders measuring productivity and costs just because they are directly measurable hence easiest to track and report?

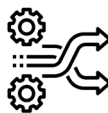
Measuring productivity benchmarks is a tempting activity. Eliminating X number of positions equals Y dollars of savings to a line-of-business. But these benchmarks keep your LOBs focused only on their siloes, their LOBs. These benchmarks do not measure what your institution loses: the collective experiences, relationships, human capital- that are often the strategic focus on AI to deliver transformation. Productivity gains without also creating new value-added human-driven services is investing in newer AI technologies to achieve a legacy goal.



## 3 reasons why your financial services organization should not focus on just productivity but set stretch value targets on further strategic outcomes/ topline indicators:



Increasing productivity and reducing headcount is a legacy benchmark that measures only the surface value of AI technologies for your financial services organization.



Reducing headcount or eliminating your workforce altogether means your FI loses data essential for real transformation. Forever.



AI resources can be used to mine the tacit knowledge patterns, heuristics and data that resides inside the brains of your stakeholders and process owners, beyond any of your large DB2 or other databases, data lakes, etc.

AI techstacks and proven usecases in BFS, e.g. fraud/ anomaly detection, KYC, attacks and threat prediction, service personalization and automation, are proving to be invaluable racing horses that position an institution towards exponential business gains. But financial services leaders and their ITSP partners must push these horses beyond vanilla cost & productivity gains and towards the right goals- of impact, of more dollar value generation. If the last mile value is not defined, productivity without more value creation can become an unfathomable hole in the P&L statements.

### Example: The curious case of KYC agentic automation in Banking

In the most commoditized KYC use case using agentic autonomous makers-checkers, chains of actions with Mixture of Experts (MoE) models, the process productivity goes beyond 10X of its manual equivalent. AI-powered checking, processing and validation workflows take only minutes or even seconds, instead of hours, to complete a typical retail or corporate KYC process instance.

So, of course the KYC team's productivity goes logarithmic. But then what? What does the bank do with this increased productivity of its key operational process for new customer acquisition/ account opening procedures?

- Can the workforce, with its intuitive collective experiences honed for several years to check customer details for instance, be repurposed to leverage their customer knowledge, to generate more revenue through cross-sell, up-sell, new products and bundling strategies generation?
- Do fraudulent account openings decline?
- Do account abandonment rates decline?

- Does the customer actually start using the new account faster than an account opened through other channels/ functions/ systems? Are there certain groups of customers who prefer this route? What are their CLV(Customer Lifetime Value) profiles and average margin contributions?
- Does the customer become more profitable or valuable to the financial institution?

These last-mile questions are seldom being tracked, leave alone answered. Result: AI applications in the BFS sector are hitting the wall of the productivity vs. value/ impact paradox. And they are hitting it faster and harder than other sectors simply because they're early movers:

- BFS started AI relatively earlier than other sectors, precisely because BFS has regulatory and compliance requirements regarding financial and transactional security that drove up the relative maturity of enterprise data management practices.
- BFS started planning AI investments as strategic initiatives integrated to their digital transformation programs.
- Consequently, their investments in these tech-stacks are longer, deeper, and much heavier than many other large industry sectors.

A survey pivoted on banking in US, actually shows that the banking leaders are prioritizing their AI roadmaps on strategic goals beyond just productivity. For instance, their biggest priorities are in managing risks and improving compliance, given the nature of the sector being highly regulated.

Q: What critical business case parameters are driving the adoption of these cloud-based technologies in your organization / business unit / function? - Artificial intelligence, machine learning tech/ services incl. deep learning, NLP/NLG, vision

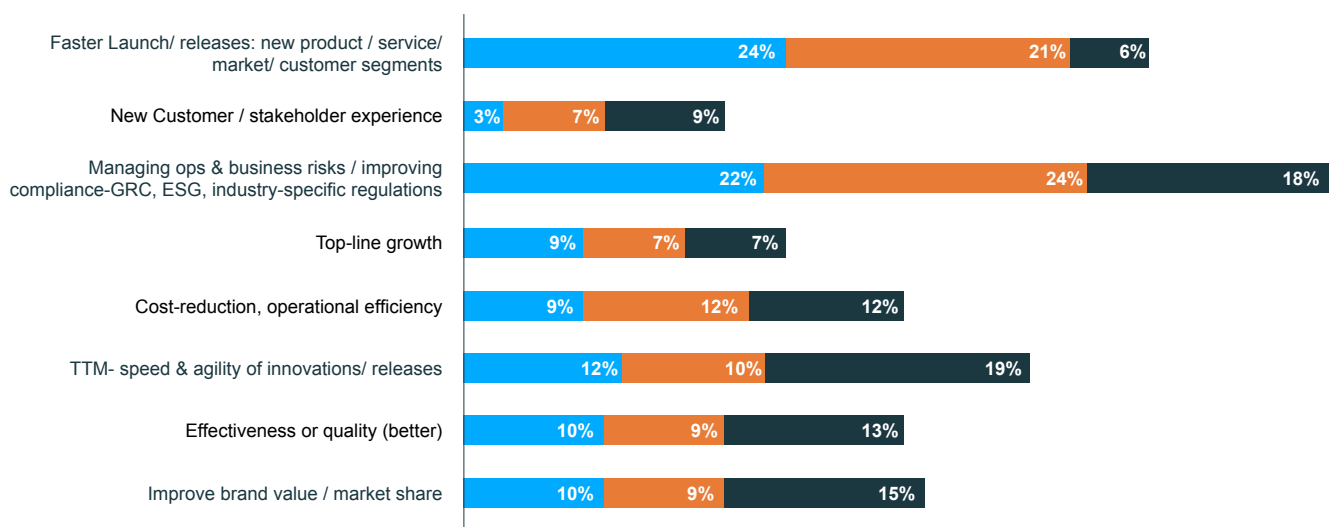


Figure 1: GRC & Risk management and faster releases & TTMs are top priorities for US banking

Rank 1 Rank 2 Rank 3

### **Actions for next Monday Morning:**

It's imperative for the client partners of ITSPs of BFS enterprises to:

- Convert productivity and cost efficiency gains from AI, into measurable topline gains and hard dollar value that are market-wise relevant for banking business leaders.
- Work with process owners and domain leaders to build impact-based business cases.
- Build 2-tier value metrics- productivity and cost gains being the baseline, and the consequent revenue/ profitability/ topline impact being in the strategic goals tier.

Otherwise the RoI question will elude the clients and the service providers alike, forever.



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